

APPENDIX 4: Alexa+ Free-Trial for US Non-Prime AMU subscribers — ROI Financial Model

This appendix provides the financial model supporting the PRFAQ, **Alexa+ Free Trial for US Non-Prime AMU Subscribers**. Its purpose is to quantify the offer economics through a lightweight MVP approach, highlight the key assumptions and swing variables, and inform whether the proposal should be advanced, refined, or stopped. [PRFAQ Link](#)

3-Month Free Alexa+ — Financial Model

Total ROI (3-month trial + 12-month post-trial horizon)

$$\begin{aligned}
 \text{Total ROI} &= N \times \left[p_A \cdot (m_A \cdot CP_{\text{Alexa+}}) + p_P \cdot (m_P \cdot V_{\text{Prime}}) + \Delta_{\text{AMU}} \cdot ((m_{\text{trial}} + p_{\text{conv}} \cdot m_{\text{post}}) \cdot V_{\text{AMU}}) - C_{\text{trial}} \right] \\
 &= 2.31\text{M} \times \left[1.00\% \cdot (8.08 \text{ months} \cdot (\$19.99 - \$3.02)) + 5.80\% \cdot (9.10 \text{ months} \cdot (\$12.77 + \$5.09)) \right. \\
 &\quad \left. + 5.55\% \cdot ((3.00 + 6.80\% \cdot 11.00) \text{ months} \cdot \$0.91) - \$9.06 \right] \\
 &= 2.31\text{M} \times [\$1.37 + \$9.43 + \$0.19 - \$9.06] \\
 &= 2.31\text{M} \times (\$1.93) \\
 &= \$4.45\text{M}
 \end{aligned}$$

Inputs

Symbol	Input	Value	Note
N	Eligible Users	2.31M	US non-Prime AMU users included in the promo cohort
m_{trial}	Trial Months	3.00 months	Free trial period offered to eligible non-Prime AMU users
R_{A+}	A+ Monthly Revenue	\$19.99	Alexa+ subscription price / month
C_{A+}	A+ Monthly Cost	\$3.02	Average Alexa+ incremental cost per core subscriber / month
p_A	A+ Conversion Rate	1.00%	Share of eligible users expected to convert after trial. A+ standalone just roll out in Feb 2026 and only 300 customer in total and no free trial before. This conversion rate is an assumption.
r_{A+}	A+ Retention	87.62%	Assumption based on Prime AMU engagement retention. Used to derive expected paid months post-conversion
$V_{\text{Prime Sub}}$	Prime Subscription Value	\$12.77	Prime subscription Post-Trial CP based on 1-month Free Prime Trial case
$V_{\text{Prime DSI}}$	Prime DSI	\$5.09	Prime DSI (CP) per user per month on Store, Store Ads, etc. based on previous 1-month free Prime trial case, provided by Prime, not apple to apple
p_P	Prime Conversion Rate	5.80%	Assumption for Share of eligible users expected to convert after trial. Since Prime is \$139 per year vs Alexa+ \$239.88 (\$19.99x12) per year, and Prime also include Alexa+ and has more features. Total 6.8% of Alexa+ and Prime conversion rate is based on 2024 AMF to AMU conversion. More scientific accurate conversion rate requires econ science weblab test.
m_P	Prime Expected Paid Month per Converter	9.10 months	Average historical Prime paid month post-trial
V_{AMU}	AMU Monthly Value	\$0.91	Annualized cumulative LTV (including downstream value) / 12
Δ_{AMU}	AMU Retention Lift	5.55%	Assumption for Incremental AMU retention lift based on latest Classic/non-Prime vs Banyan/Prime gap
m_{post}	Post-Trial Window	11.00 months	AMU projected retention lift window

22 Unit Economics

23	Symbol	Metric	Formula	Plug-in	Result
24	C_{trial}	Trial Cost per User	$m_{\text{trial}} \times C_{A+}$	$3 \times \$3.02$	\$9.06
25	m_A	A+ Expected Paid Months per Converter	$\sum_{t=1}^{\infty} (r_{A+})^{t-1}$	$\frac{1}{1 - 0.8762}$	8.08 months

26 Cohort Economics

27	Symbol	Metric	Formula	Plug-in	Result
28	T_{trial}	Total Trial Cost	$N \times C_{\text{trial}}$	$2.31\text{M} \times \$9.06$	\$20.93M
29	p_{conv}	Total Conversion Rate	$p_A + p_P$	$1.0\% + 5.8\%$	6.80%
30	U_A	A+ Converted Users	$N \times p_A$	$2.31\text{M} \times 1.0\%$	23,100
31	U_P	Prime Converted Users	$N \times p_P$	$2.31\text{M} \times 5.8\%$	133,980
32	T_{A+}	Alexa+ Contribution Value	$N \times p_A \times m_A \times (R_{A+} - C_{A+})$	$2.31\text{M} \times 1.00\% \times 8.08 \times (\$19.99 - \$3.02)$	\$3.17M
33	T_{Prime}	Prime Incremental Value	$N \times p_P \times m_P \times (V_{\text{Prime Sub}} + V_{\text{Prime DSI}})$	$2.31\text{M} \times 5.80\% \times 9.10 \times (\$12.77 + \$5.09)$	\$21.78M
34	T_{AMU}	AMU Retention Value	$N \times \Delta_{\text{AMU}} \times ((m_{\text{trial}} + p_{\text{conv}} \times m_{\text{post}}) \times V_{\text{AMU}})$	$2.31\text{M} \times 5.55\% \times ((3 + 6.80\% \times 11.00) \times \$0.91)$	\$0.44M
35	$\text{ROI}_{\text{total}}$	Total ROI	$T_{A+} + T_{\text{Prime}} + T_{\text{AMU}} - T_{\text{trial}}$	$\$3.17\text{M} + \$21.78\text{M} + \$0.44\text{M} - \20.93M	\$4.45M

36 Scenario Analysis

37	Scenario	ROI	ROI per user	Alexa+ & Prime Conversion Rate%
38	Current Benchmark	\$4.45M	\$1.93	6.80%
39	Current Benchmark w/o Prime DSI	-\$1.75M	-\$0.76	6.80%
40	Breakeven	\$0.00M	\$0.00	5.59%
41	Breakeven w/o Prime DSI	\$0.00M	\$0.00	7.43%
42	Conservative at 4%	-\$5.86M	-\$2.53	4.00%
43	Conservative at 2%	-\$13.22M	-\$5.72	2.00%

44 **Summary:** The cost of supporting a 3-month Alexa+ subscription trial for estimated new (270k/month) and
 45 existing 2.31M-user non-Prime AMU customers in the US is \$20.93M. To break even this investment under the
 46 current model assumptions, we must see an estimated 7.43% post-trial conversion rate. For comparison, AMF
 47 to AMU trials see a 6.80% conversion ([per 2024 data](#)). While the trial is apple to apple, if we can maintain a
 48 similar 6.8% conversion rate in this trial, we may assume an ROI of -\$1.75 without DSI and an ROI of \$4.45M
 49 with DSI. (See Appendix 4 for Financial Model)

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